Balance Sheet as on 1st January, 2019

Liabilities	₹	₹	Assets		₹
Capital account:			Land	80,000	
Sundar	68,000		Add: Appreciation	11,000	91,000
Vivek	52,000	1,20,000	Stock	20,000	
Pandian's Executor A/c		16,000	Less: Decrease	2,000	18,000
Sundry creditors		14,000	Debtors	30,000	
			Less: Decrease	3,000	27,000
			Cash at bank		14,000
		1,50,000			1,50,000

Illustration 22

Ramesh, Ravi and Akash are partners who share profits and losses in their capital ratio. Their balance sheet as on 31.12.2017 is as follows:

Balance Sheet as on 31st December, 2017

Liabilities	₹	₹	Assets	₹	₹
Capital account:			Plant and machinery		45,000
Ramesh	30,000		Stock		22,000
Ravi	30,000		Debtors		15,000
Akash	20,000	80,000	Cash at bank		10,000
General reserve		8,000	Cash in hand		4,000
Creditors		8,000			
		96,000			96,000

Akash died on 31.3.2018. On the death of Akash, the following adjustments are made:

(i) Plant and machinery is to be valued at ₹ 54,000

(ii) Stock is to be depreciated by ₹ 1,000

(iii) Goodwill of the firm is valued at ₹ 24,000

(iv) Share of profit of Akash is to be calculated from the closing of the last financial year to the date of death on the basis of the average of the three completed years' profit before death. Profit for 2015, 2016 and 2017 were ₹ 66,000, ₹ 60,000 and ₹ 66,000 respectively.

Prepare the necessary ledger accounts and the balance sheet immediately after the death of Akash.

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